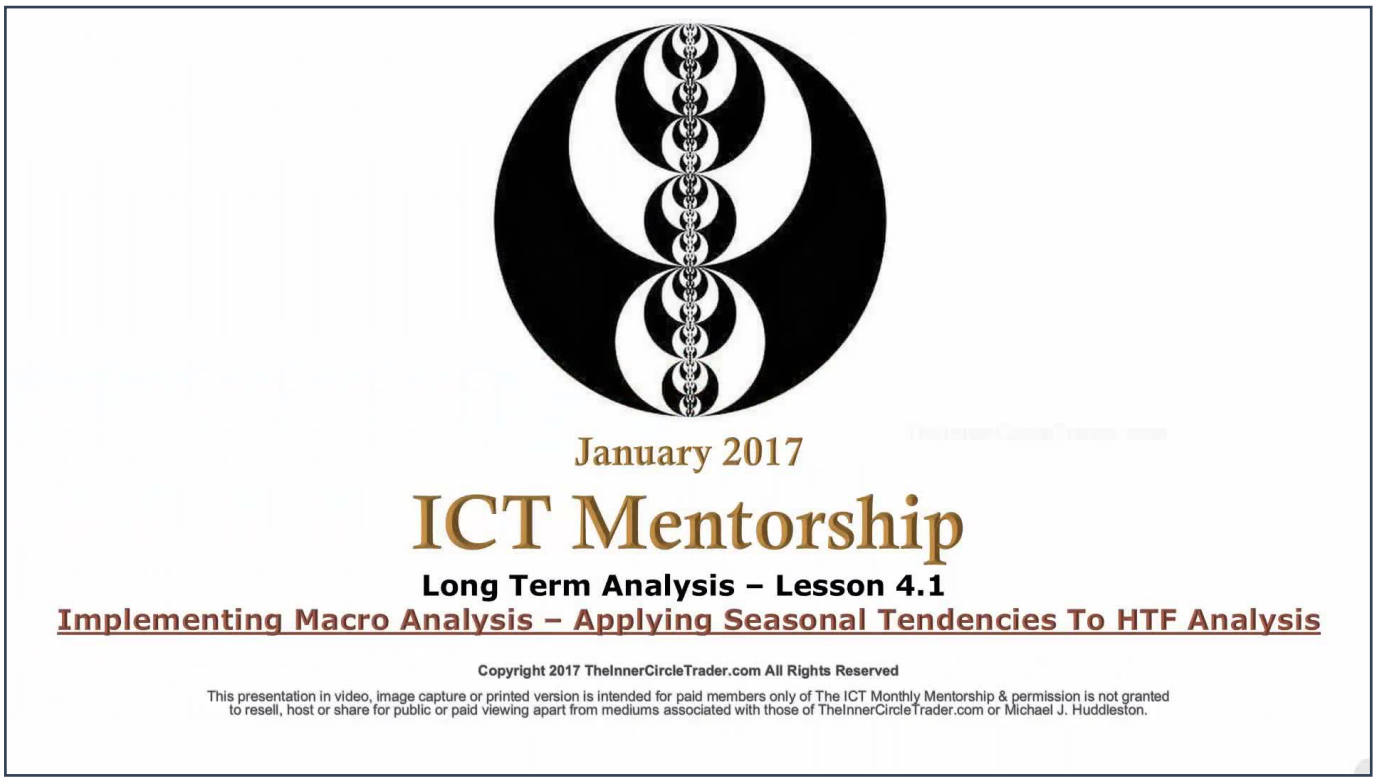
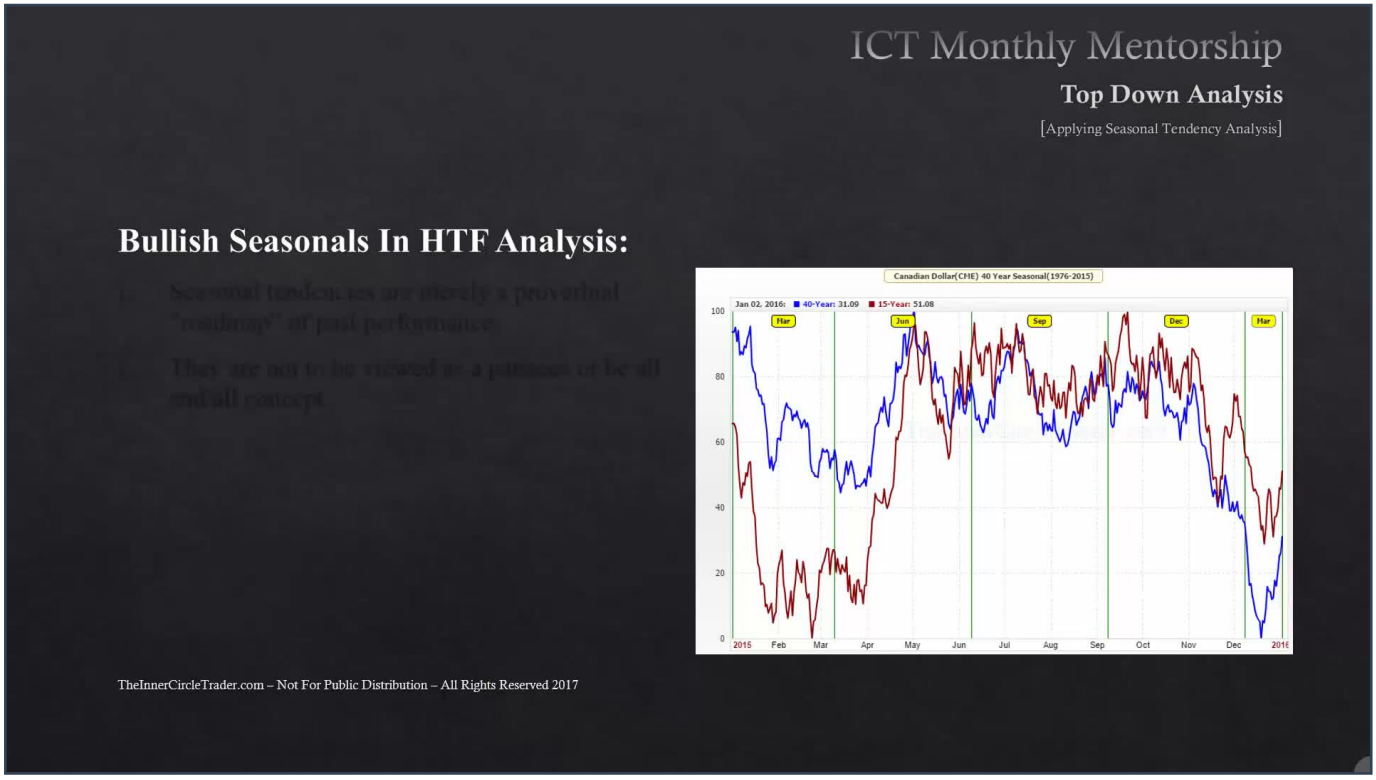
ICT MENTORSHIP CORE CONTENT

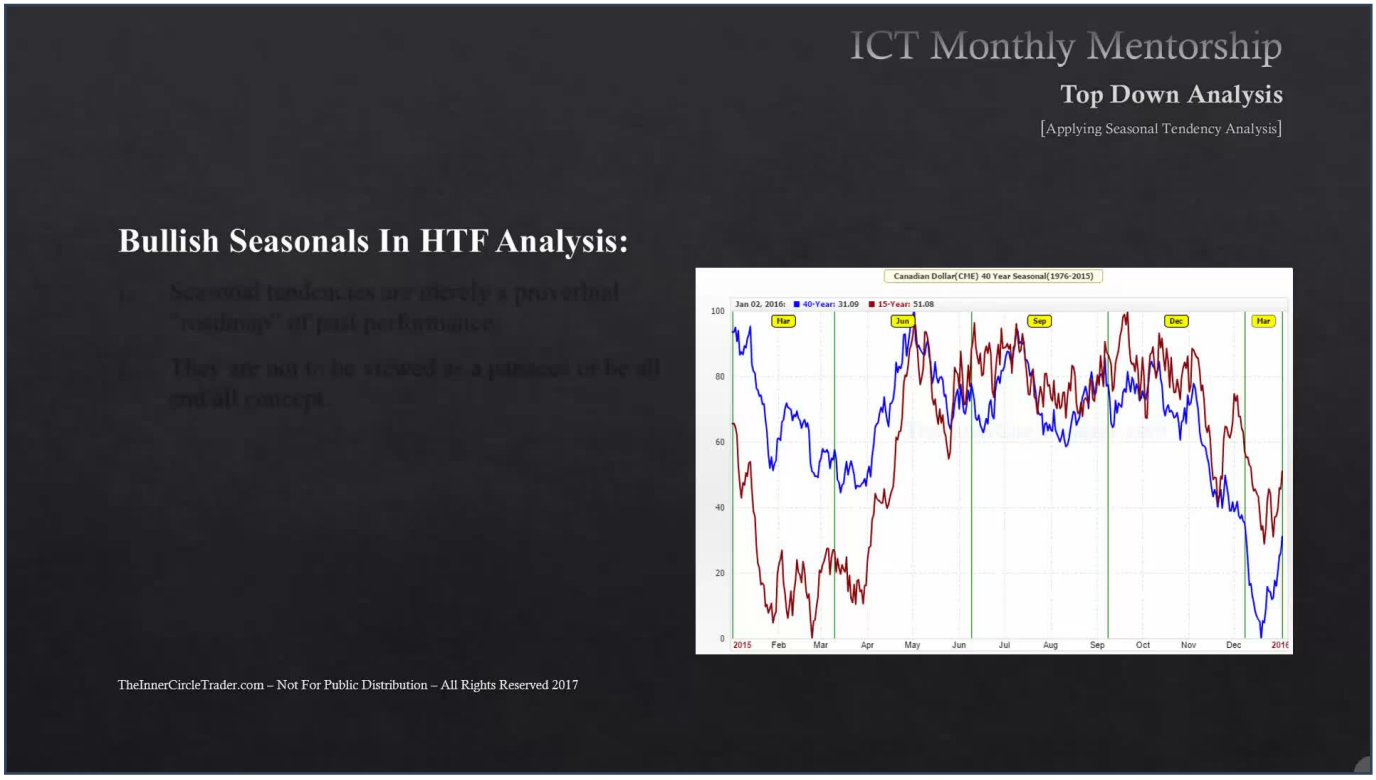
ICT MENTORSHIP CORE CONTENT - MONTH 05 - HOW TO USE BULLISH SEASONAL TENDENCIES IN HTF ANALYSIS



Welcome back folks, this is lesson 4.1: Implementing Macro Analysis. We're going to be teaching applying seasonal tendencies to higher time frame analysis. This module is going to be teaching bullish seasonals in higher time frame analysis. We will be teaching specifically only on the buy side for seasonal tendencies in this teaching, using the Canadian dollar to begin with.



What this is, it's a 40-year seasonal tendency where the price on bullish years and bearish years have been compiled and compressed into a file. The output gives us a tendency for what price usually does for each contract delivery month.



Before we get into it deeper, let's bring up some points here. Seasonal tendencies are merely a proverbial roadmap of past performance and they are not to be viewed as a Panacea or be all end-all concept. Despite what you may see in this teaching and the subsequent teaching in 4.2, please let me remind you that simply because it's done something in the past doesn't that in any way guarantee it's going to do the same thing in the future. This is just one more tool to add a confluence of things that would already lead you to an expectation that the market should go higher or lower.

CANADIAN DOLLAR 40-YEAR SEASONAL TENDENCY CHART DETAILS

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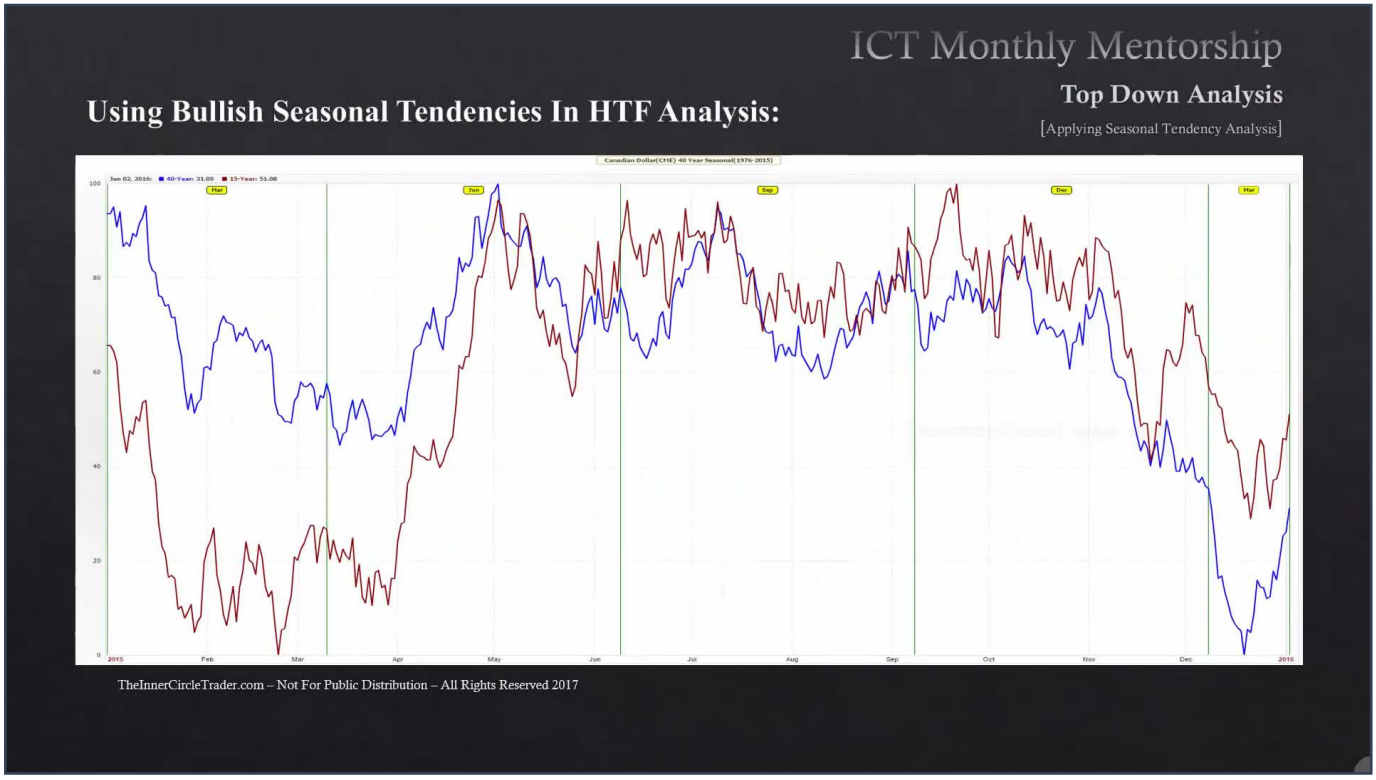
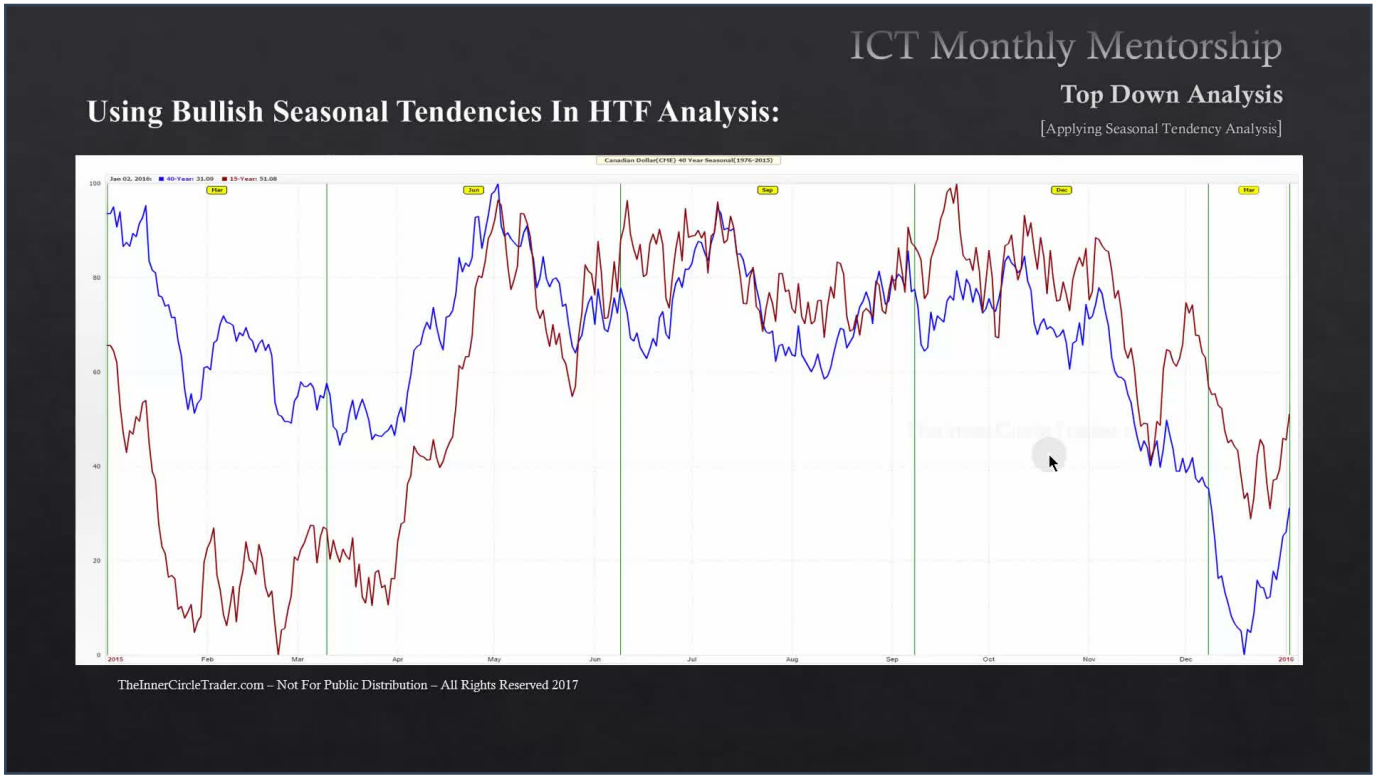
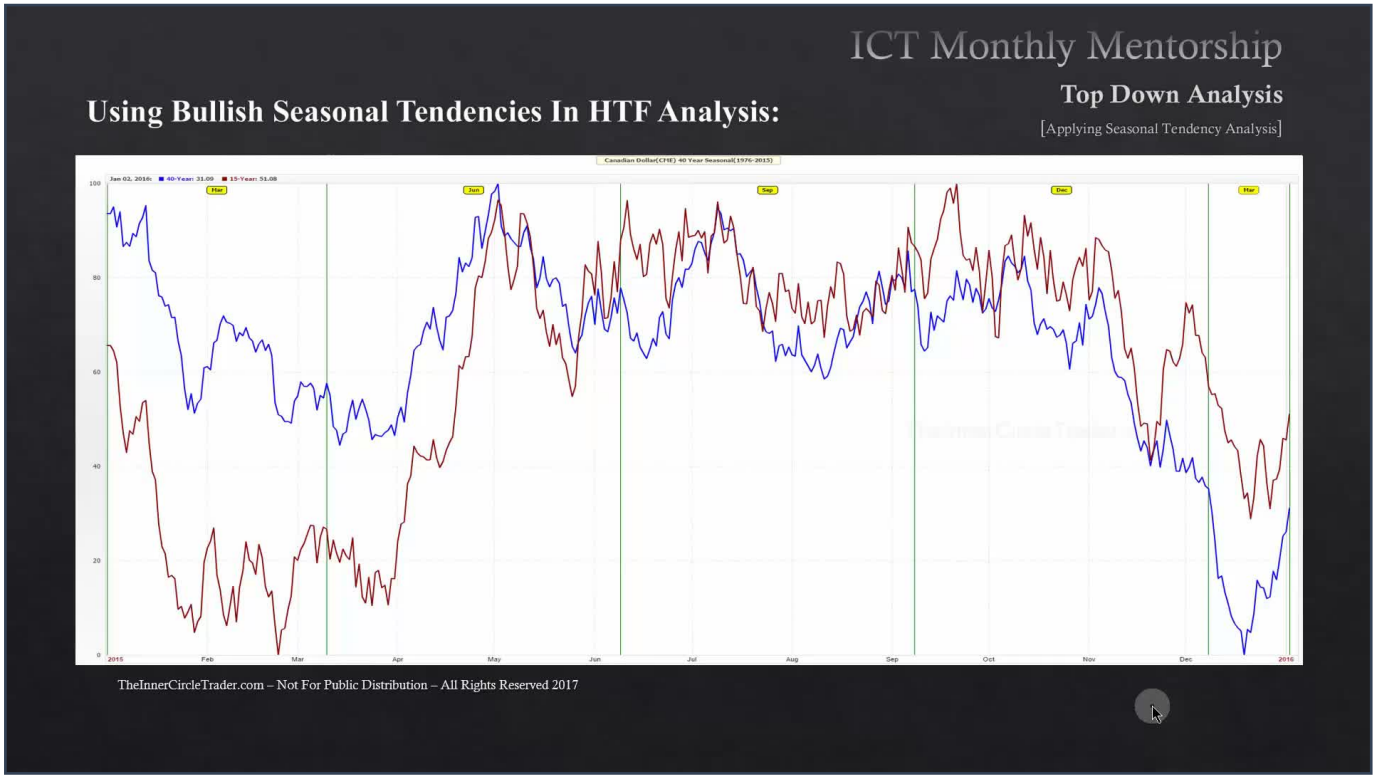


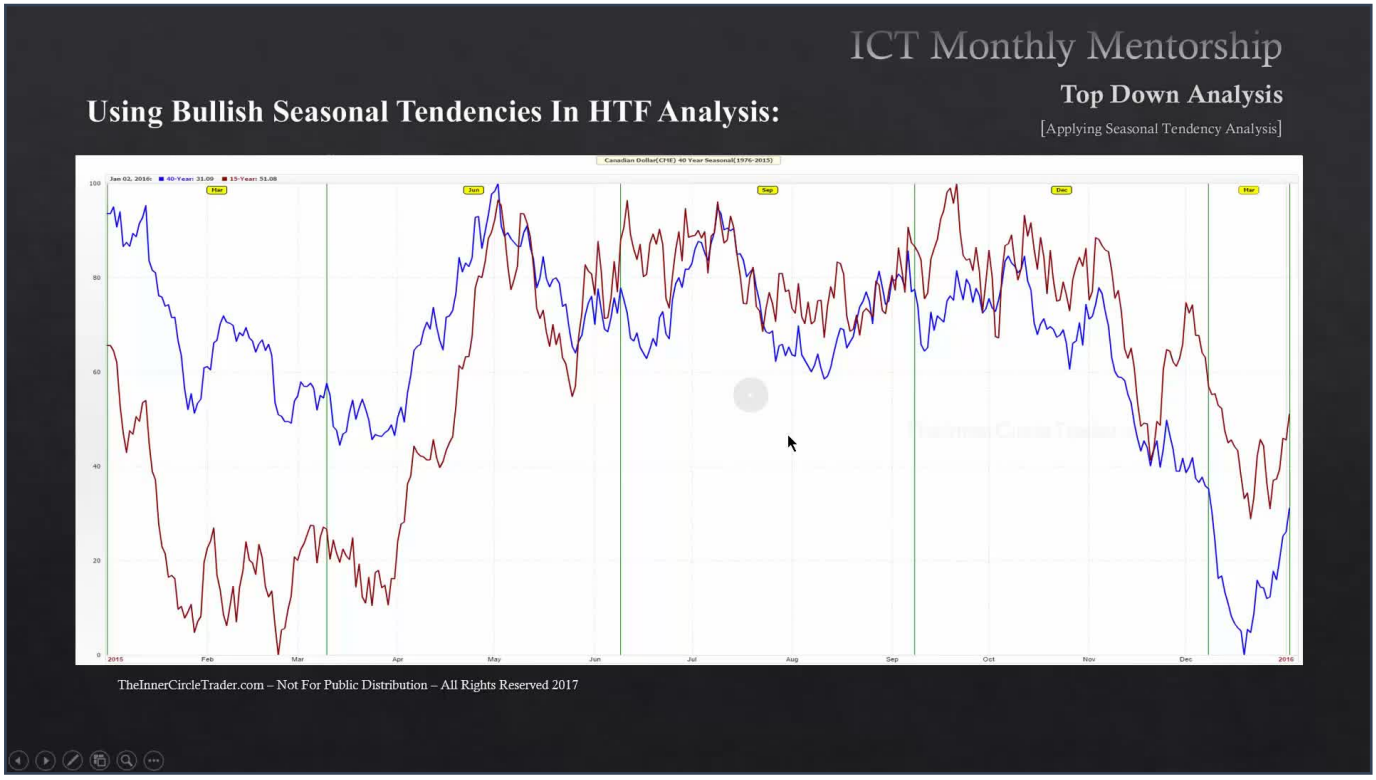
Okay folks, this is the Canadian dollar 40-year seasonal tendency, an expanded view of the chart you just saw. The abbreviations 'March', 'June', 'September', 'December' delineate the contract delivery months for the Canadian dollar. Currencies deliver on March, June, September, and December every single year. These charts are a compilation of data over all the delivery months' price action for the last 40 plus years, beginning in 1976. This data is compiled up to 2015, but the output has hardly changed at all, with no deviation for 2017.



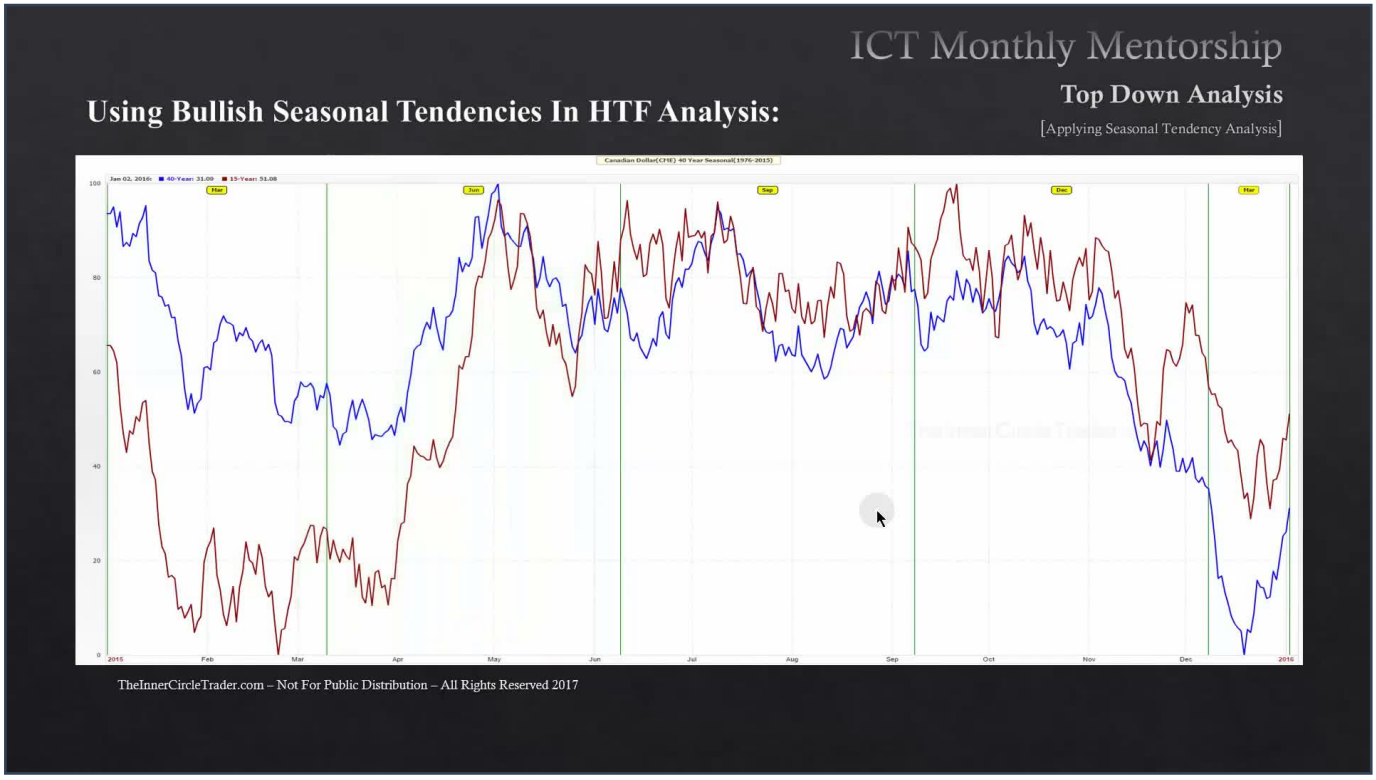
How do we look at these things and what benefit does it give us? If you were to ask the average trader if markets are manipulated to a degree where, before price ever starts to trade a specific time of year, it would be inclined to go higher or lower based on some underlying influence that repeats itself, most new traders wouldn't agree. Seasonal tendencies give a characteristic to price that proves there is a rhyming reason behind everything that goes on. This is 40 years worth of data. The blue line represents the 40-year average, and the red line is a 15-year average. There's very little discrepancy between the two in terms of the overall strong seasonal tendencies for this particular currency.



Since we're primarily dealing with bullish seasonal tendencies in higher time frame analysis for this module, we're not going to focus on bearish patterns. We're looking for tendencies that lend well to being a buyer for higher time frame analysis and position trading ideas. Looking at this seasonal tendency, the time of year is delineated at the bottom of the chart, all calendar month based. The vertical lines delineate when the contract months end, for example, March trading ends here, marking the beginning of June's contract trading. If asked when would be a good time to buy, you can see that around mid-March all the way up into the May-June time period is probably a really good time. So, between March and June, there typically is a strong tendency for the Canadian dollar to rally.



Now, some may think this is great for Canadian dollar futures, but what does it mean for a foreign exchange trader? This is the seasonal tendency you would expect Canadian dollar Futures to rally. It does not mean it's going to rally every single year March to June; it just means there's a strong probability that historically, looking back over 40 years and comparing it against 15 years, there is a strong underlying element of truth to the fact that there is a tendency for this to rally. However, if you're not a Futures contract trader, this doesn't do anything for you, or does it? If we are trading foreign exchange, we have to remember that the Canadian dollar is paired with the dollar Index. The dollar Index is the first in the pair's name (e.g., USD/CAD). If we're bearish on Canadian dollar, the USD/CAD is going to go up. If we're bullish on Canadian dollar, that means the USD/CAD pair is going to go down. That means Canadian dollars are bullish while that would suppress the US dollar Index. So since the pair's name begins with US dollar, the opposite would be seen in what we expect to see in the Futures contract.



What we have to do is focus in on a seasonal tendency on the Futures contract that shows us a bearish tone in the marketplace. You can see between September and around Christmas time in December, there typically is a strong tendency for the Canadian dollar to decline in the underlying Futures contract. We have to take this into account when we're looking at foreign exchange because the USD/CAD pair is an inversion of what the Futures contract shows for Canadian dollar Futures price. So if there's a strong tendency for September, October, November, and December to have a decline in the Canadian dollar, that should be a bullish scenario for USD/CAD. Let's take this over to the charts and see if this in fact has any validity to it.

USD/CAD WEEKLY CHART ANALYSIS: SEPTEMBER TO DECEMBER (2008-2016)

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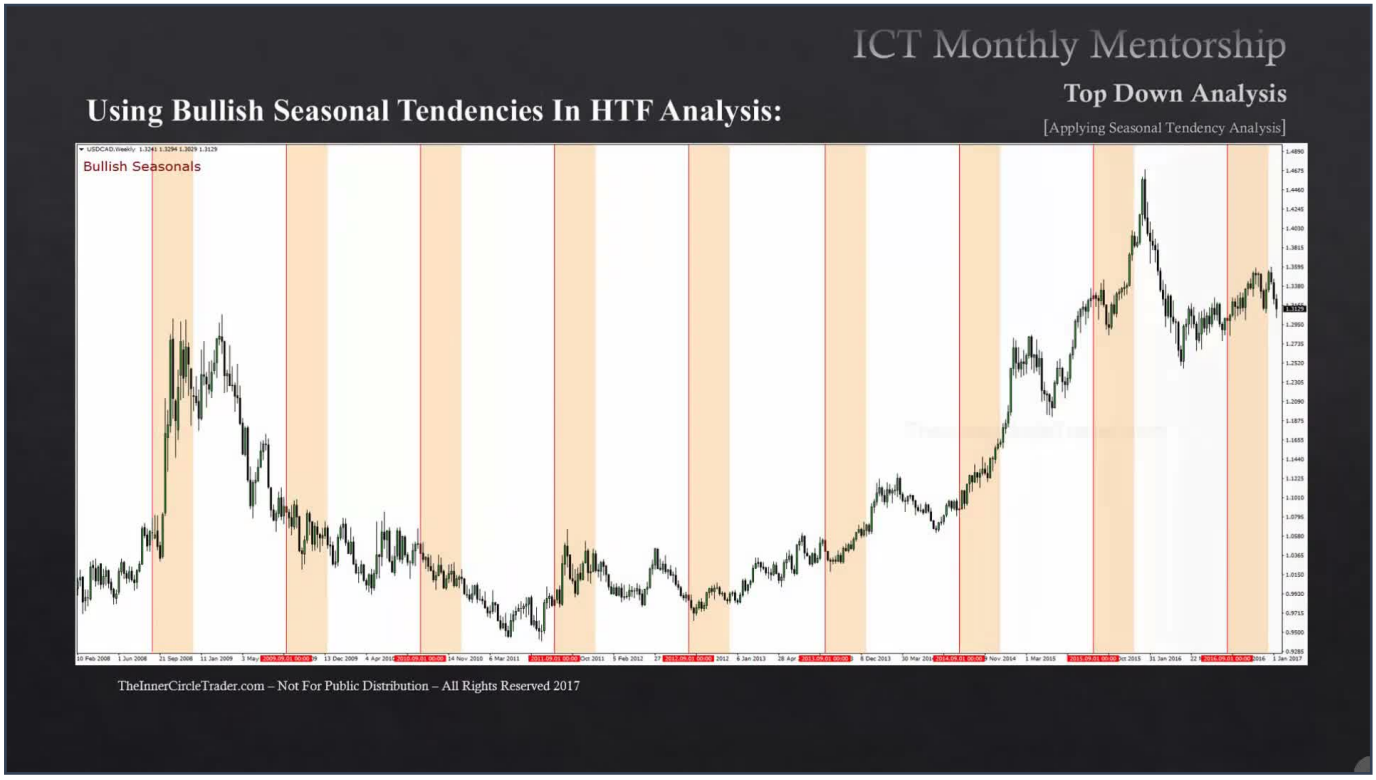
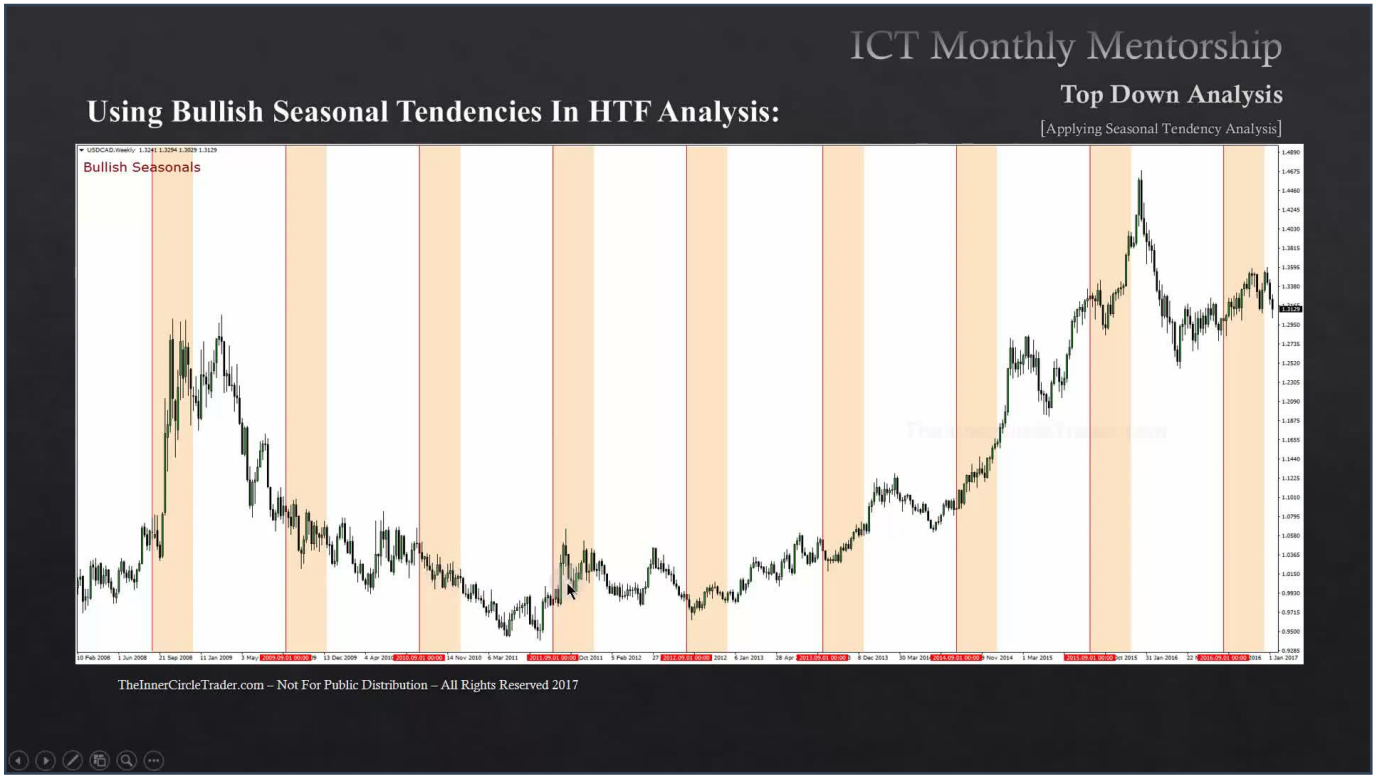
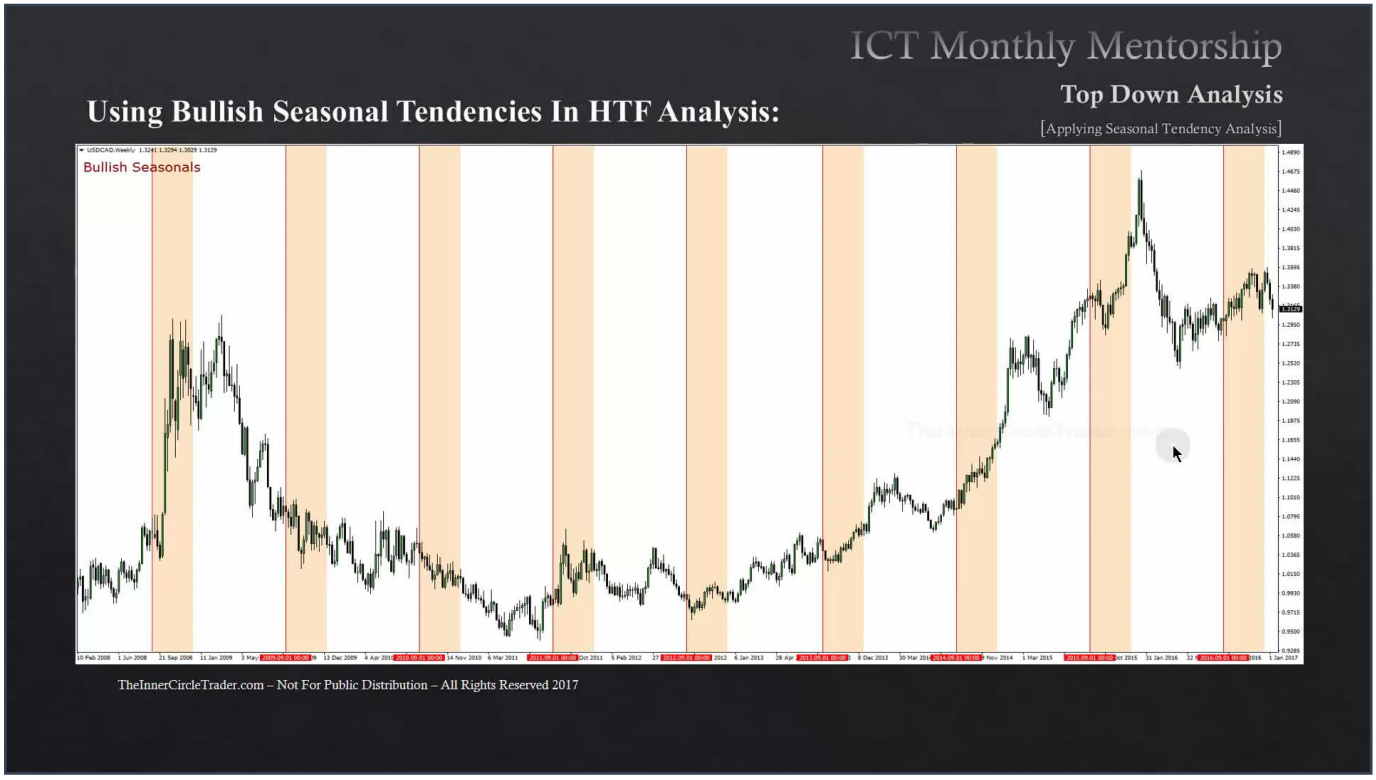


Okay, we're focusing on the bullish seasonal tendencies. We have our USD/CAD weekly chart, going back to 2008. I started the shaded line at the beginning of September and carried it out in time to about the midpoint of December. This is when we'd expect to see the Canadian dollar to be bearish on the Futures underlying contract price. But because we're foreign exchange traders, we have to be looking at it to be reversed or inverted, so that means it would be bullish for the USD/CAD pair because this is how we're trading the major US against the CAD. So this is the buying opportunity that would be presented. Look at the performance here on USD/CAD in relationship to the seasonal tendency—look how strong that buy was, look how many pips it moved. Notice also here, this is the very next year, in 2009. This is a time when the seasonal tendency should take place, meaning the Canadian dollar should be bearish on the underlying Futures contract, which would be an inversion on USD/CAD pairs, meaning we would expect bullishness. While we didn't press up to make new higher highs, there was a nice little pop, a nice little rally here, but overall the direction was down, so you can see how the seasonal tendency really wasn't much help in terms of seeing much higher prices. The very next year, same thing, very weak, it was lower. Now I'm going to ask you a question: look at these last two years, what was the underlying price direction on the weekly chart? Was it bullish or bearish? Bearish, it has been going lower. So would you be focusing on buying that time of year versus looking for opportunity to be a seller? There's a hint for the next tutorial 4.2.

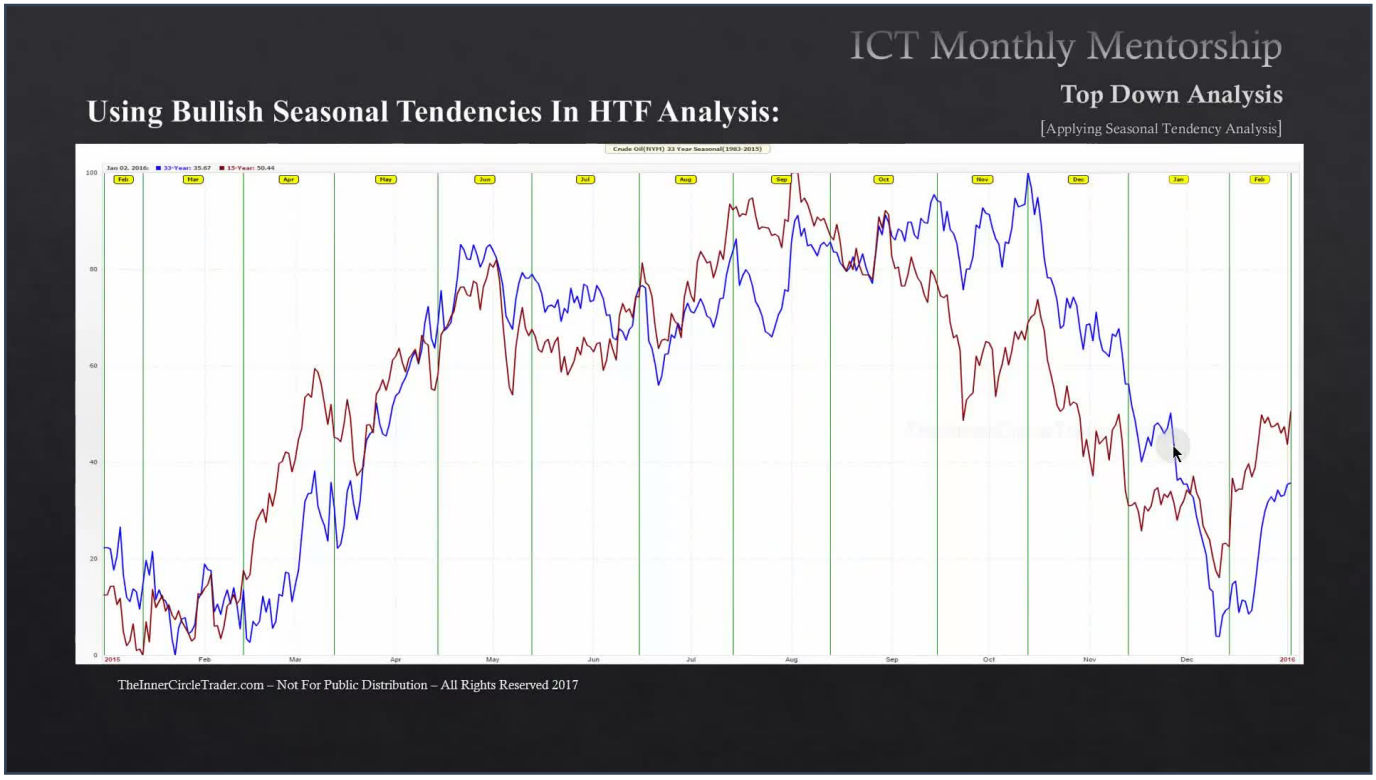
USD/CAD WEEKLY CHART ANALYSIS: SEPTEMBER TO DECEMBER (2011-2016) AND MARKET STRUCTURE ALIGNMENT



Going to 2011, we can see that the seasonal tendency had a really nice effect here after we made a nice low and market structure shifted to the bullish side. And seasonal overflow is now bullish, and during a time of year when the underlying Futures contract for Canadian prices should be going lower, that's bullish for USD/CAD. So for a foreign exchange trader, we're looking for buys. We had to look for weakness in the underlying Futures contract of the Canadian dollar that would propel price higher at a time of the year when we would expect prices to come in. Same thing here the very next year, 2012, we can see price again rallied up during this time of the year. And now we're still bullish. Now look at the effects of the seasonal tendency again. We have a low and it starts rallying up again. Again, same time of year, September to almost Christmas, seasonal tendency rallies again. Same time period here, rallies again. And again, 2016 just passed, we have a nice rally up here as well. Seasonal tendency comes again once again strong. Looking at this again, let me remind you what we're looking at is underlying weakness in the Futures contract. So if it's underlying weakness in the Futures contract for a Canadian dollar, the inversion puts it to a bullish stance for USD/CAD. So it's very important, that's why I taught this one specifically, because I'm showing you how we have to take the seasonal tendency from the Futures contract for some of the majors that are paired with the dollar. Their currencies start with US, so it's going to be an inversion. So what you would expect to see in the Futures contract has to be reversed in some of the currencies that are paired out with the dollar.



So now, by itself, it doesn't mean anything, but coupled with other things like quarterly shifts, remember that every three or four months there's going to be a move on a higher time frame. Now we're adding another dimension to that. It's one thing to expect a move every three to four months, but where is that move going? What should we be focusing on? Should we be buying or should we be selling? Seasonal tendencies give us a roadmap to help build the idea that, okay, there are certain quarters of the year that we want to be a buyer, and there are certain quarters of the year that we want to be a seller. And we anticipate this year in and year out. The only difference is, is we're going to be looking for markets that are already predisposed to go higher and then coupling that with the bullishness of seasonal tendencies. If we're looking at the Canadian dollar, we'd have to reverse it, look for weakness in the seasonal tendencies on the underlying futures contract and then apply it to the USD/CAD as bullishness because it's an inversion of futures contract prices for Canadian dollar. If we see times when the Canadian dollar is bullish underlying USD/CAD pair, and this seasonal tendency September to almost Christmas every single year, there's a strong tendency for it to be bullish between that time period. That means there's many weeks where you can be a bullish USD/CAD trader if the underlying pair of USD/CAD is bullish. This is going back several years and I only gave you this sample size because if I'll give you any more data, it'll ruin all the discoveries if you go back and study for yourself. But you can see here clearly many instances when the underlying market moves are in line with the macro trend. Seasonal tendencies are absolutely a barn burner for delivering what you should be doing for each quarter of the year. In this case, you have a loaded deal if you're looking for a buying opportunity for USD/CAD, it's between September and getting close to Christmas every single year when the market's predisposed to go higher. What quarterly shift are you going to be looking for now? Looking for longs.



Okay, so now we're going to look at a market that's closely related to Canadian dollar. Its number one export is crude oil. Here we have another example, just as a supporting idea. If you looked at this market over here, you would expect to see bullish prices for a rally in the crude oil market. That rally comes in around mid-February, going into March and carrying into the May-June time period. So we're expecting bullishness in the crude oil market. Since Canadian dollar generally moves almost in tandem with crude oil, there's a strong tendency for the Canadian dollar to rally and the crude oil market to rally at this time of year. That means we have a March to June, basically, a bullish effect for Canadian dollar and crude oil coupled together. So that's a strong tendency. But again, because we're looking at Canadian dollar in the Foreign Exchange market, this would have to be reversed. So we'll save that study for you in addition to what's already been presented here. But I want to show you the Futures contract price for crude oil between around March to June time period.

CRUDE OIL WEEKLY CHART ANALYSIS: MARCH TO JUNE (2014-2016)

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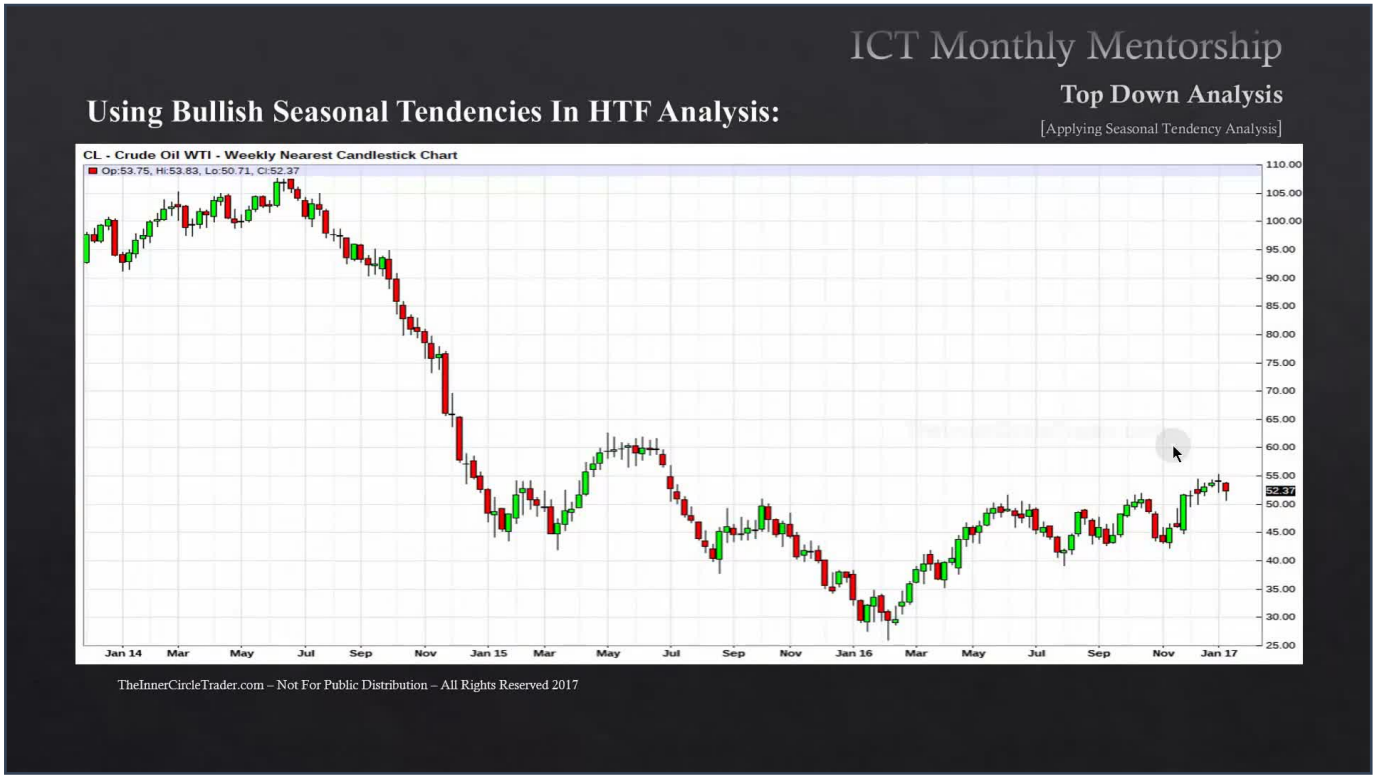
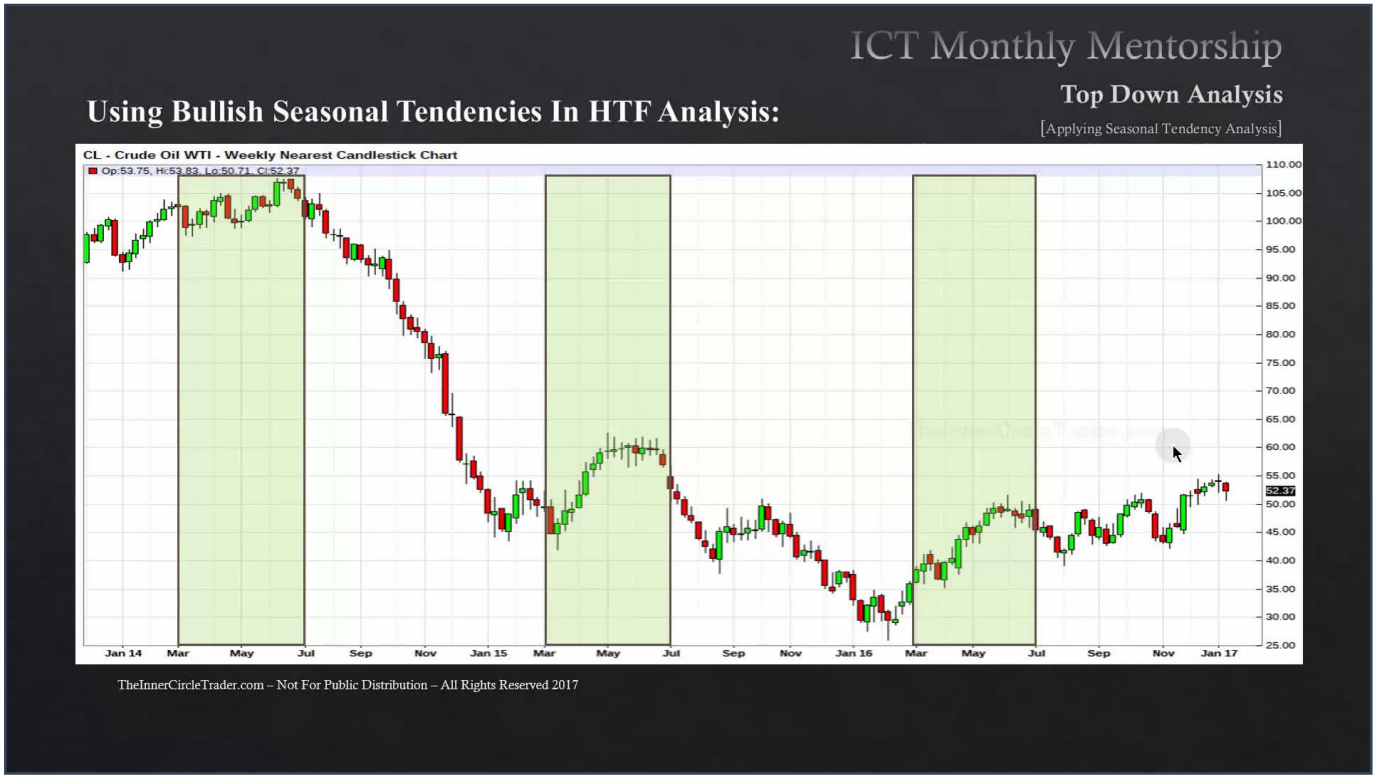
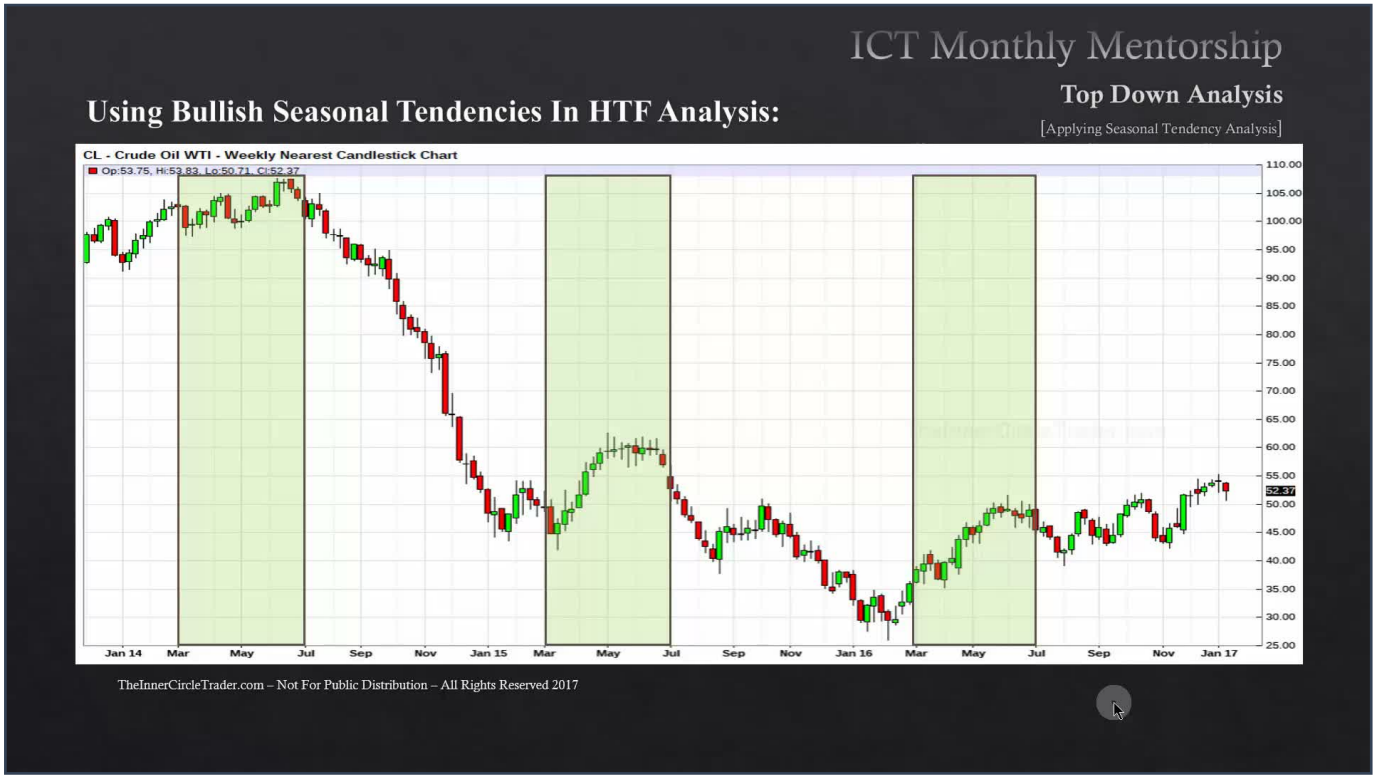


Okay, here's the crude oil market, the weekly chart, and I just went back to January 14, 2014. Obviously, you can see this is a bearish market here, it's been in a long-term downtrend with the collapse of the oil market from around the 105 level. But let's take a look at the bullishness of that seasonal tendency, again looking for that March to June time period. So here's March all the way through to June. You can see the rally in the crude oil market right when it made its high in the 2014 time period. The next year, we'd be looking for the same seasonal tendency between March and June all the way up into the first of July. We can see it again here, rallies once more, even in a bear market, it's still there. We don't force the trades, but I'm just showing you the seasonal tendency that's existing in the marketplace that should convince you that there is an absolute program to everything that goes on. Despite fleeting domain factors, there are very routine things that take place and they repeat themselves over and over again. And again, in 2016, we have March to the first of July, encompassing the whole month of June, you can see that rally again comes in for crude oil.



Now my question to you is this: if you can see these opportunities repeating themselves based on the data that I'm sharing with these reports and seasonal tendency charts, is it hard not to feel like they're treasure maps? Because that's exactly what it felt like for me as a young man when I was in my 20s. I saw these seasonal tendency charts and I admittedly pushed them aside for a first couple months and then finally I got into the study of seasonal tendencies. I realized quickly right away that there is something to them. Admittedly, I've lost money traded them in the beginning. I had no idea what I was doing; I just thought every time it would work, so therefore I loaded up the boat and traded way too many things and too many times got burned doing it. So I put it on the back burner until I realized there's this quarterly shift that takes place in the marketplace. I'm matured now and I can look back and I can pick out where the highest probability seasonal tendencies are for certain times of the year. Certain markets have really strong seasonal tendencies to move a specific three to four month cycle every single year, when it's bullish and when it's bearish. If we can focus in on those quarters, on those particular currency pairs or those asset classes, we have a loaded deal in the form of odds. It doesn't mean it's going to be profitable every time, it doesn't mean it's a guaranteed it's going to be accurate, it just means that we have a high odds probability that our prognostication will lead us to a successful outcome. This is just one example of how correlated pairs between Canadian dollar and crude oil both can lean well with one another in terms of seasonal tendencies. And even in the bearish market the crude oil market's been in, you can see that the nice big rallies that occurred happened to script with a seasonal tendency.



We're going to teach more about this in module 4.2, and I'm going to talk about the bearishness as well. In that module, I'm actually going to share all of the seasonal tendencies I have for all the currencies. Until next time, I wish you good luck and good trading.